Outlook

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Follow-up: the pass/fail line may be hiding fragile approvals

Morning,

I need help with something that sounds simple but probably is not.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

The questions I would ask in the room are:
1. What would we expect to see if thin discretionary income predicts later stress?
2. What evidence would instead support that verified expenses or income quality create the main uncertainty?
3. How do we rule out that product and term explain the outcome?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether policy buffers, verification or monitoring should change. A useful output would be a working Excel file with the exception population and clear columns.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. One caution: The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Regards